

InvEntry Historical Invoice to GSTR-1 Migration Process

Purpose

This procedure is intended for use whenever an existing InvEntry installation, branch, or customer database needs to bring historical invoices into the current GSTR-1 processing workflow.

The process ensures that:

- genuine completed invoices are identified correctly;
- incomplete, cancelled, or test invoices are excluded;
- historical invoice status is corrected where necessary;
- financial and GST values are validated;
- invoices are classified into the correct GSTR-1 categories;
- duplicate GST staging is prevented;
- GSTR-1 data is reconciled before JSON export.

The process should be performed in two separate phases:

Phase A — Historical Invoice Normalisation

Historical invoice → Validate → Correct status → Reconcile financial values

Phase B — GST Backfill

FINALISED invoice → GST classification → Staging → Validation → Export

PART 1 — USER / OPERATIONS PROCESS

1. Select the Migration Period

First identify the date from which the branch should start using the new GST workflow.

Example:

GST Cutover Date: 01-Sep-2026

This means:

- invoices before the cutover date normally belong to already-filed historical GST periods;
- invoices from the cutover date onward must be processed through the current GSTR-1 workflow.

For example:

Up to 31-Aug-2026

Historical / already-filed period

From 01-Sep-2026

Current GSTR-1 workflow

Historical periods that have already been filed should normally not be recreated unless there is a specific correction requirement.

2. Load Historical Invoices

Run the Historical Invoice Audit for the required period.

Example:

From Date: 01-Sep-2026

To Date: 30-Sep-2026

The audit should list invoices belonging to that period.

At this point the system is only reviewing the invoices.

No GST data should be created or modified automatically.

3. Identify Genuine Sales Invoices

Each historical invoice should be reviewed to determine whether it represents a genuine completed sale.

Typical classifications are:

Confirmed Production

Test Transaction

Needs Investigation

Unreviewed

Only invoices classified as:

Confirmed Production

should proceed through the migration.

A record should not proceed when it is:

- a test invoice;
- cancelled;
- partially entered;
- abandoned;
- incomplete;
- duplicated;
- otherwise doubtful.

4. Correct Historical Invoice Status

Some genuine historical invoices may still show:

DRAFT

because they were created under an older version of InvEntry.

Once the operator confirms that the invoice represents a completed sale, its status may be corrected to:

FINALISED

The rule is:

Confirmed genuine sale

+ complete invoice

+ not cancelled

+ not test data

+ currently DRAFT

↓

Change to FINALISED

Changing the status to FINALISED does not automatically mean that the invoice has been included in GSTR-1.

Invoice finalisation and GST processing are separate activities.

5. Run the Audit Again

After historical invoice status has been corrected, run the Historical Invoice Audit again.

The system should verify:

- invoice number;
- invoice date;
- taxable value;
- CGST;
- SGST;
- IGST;
- invoice value;
- amount payable;
- round-off;
- invoice lines;
- customer information;
- HSN details.

Any invoice showing inconsistent totals should be marked:

Needs Investigation

and should not proceed to GST processing.

6. Check Taxable Value and Tax Amount

The audit should confirm that taxable value and tax amounts are reasonable.

The basic tax relationship is:

Tax Total

=

CGST + SGST + IGST

The approximate invoice relationship is:

Taxable Value

+ GST

+ Other Charges

+/- Round Off

- Discount

=

Invoice Value

The exact calculation should follow the InvEntry invoice calculation rules.

If the values do not reconcile, the invoice must be investigated before continuing.

7. Validate Customer GST Information

The system should identify whether the customer is:

Registered Customer

or:

Unregistered Customer

A registered customer should have a valid GSTIN.

The customer's state / place of supply should also be correct.

For transactions within the same state:

CGST + SGST

normally applies.

For transactions between different states:

IGST

normally applies.

Any mismatch should be reviewed before continuing.

8. Run GSTR-1 Dry-Run

After the invoices have passed the historical audit, run the GSTR-1 Backfill Dry-Run.

The dry-run should show what would happen without modifying the live GST staging data.

Typical output should include:

- invoice number;

- invoice date;
- customer GSTIN where applicable;
- taxable value;
- invoice value;
- CGST;
- SGST;
- IGST;
- GSTR-1 category;
- validation result;
- HSN information;
- processing status.

The dry-run provides an opportunity for the operator to review the migration before committing anything.

9. Review GSTR-1 Classification

Each invoice should be classified according to GST rules.

Typical examples include:

B2B

B2C

HSN

Credit / Debit Note

Export

For normal retail invoices:

Valid customer GSTIN

↓

B2B

and generally:

No customer GSTIN



B2C

The GST classification should be reviewed before staging.

10. Validate HSN Information

All invoice items should have valid HSN details.

Typical required values include:

- HSN code;
- description;
- quantity;
- UQC / unit;
- taxable value;
- GST rate;
- tax amount.

If any product is missing HSN information, the invoice should not proceed automatically.

11. Approve Records for GSTR-1 Staging

An invoice should proceed to staging only when all required checks have passed.

The basic rule is:

Confirmed Production

AND

FINALISED

AND

Financial totals correct

AND

GST details valid

AND

GST classification successful

AND

HSN valid

AND

Not already staged



Eligible for GSTR-1 staging

12. Create GSTR-1 Staging Records

Once approved, the system creates GSTR-1 staging records.

The staging area represents the GST return data that will eventually be exported.

The original sales invoice remains unchanged apart from any approved historical status correction.

13. Reconcile Staged Data

After staging, compare the source invoices and the GSTR-1 staging records.

The following totals should reconcile:

Invoice Count

Taxable Value

CGST

SGST

IGST

Invoice Value

Category totals should also be checked.

Example:

B2B Total

+

B2C Total

+

Other applicable categories

=

Eligible Sales Total

Differences should be investigated before JSON export.

14. Mark Records Ready for Export

Only successfully validated staging records should become exportable.

The processing flow should therefore be:

Historical Invoice

↓

FINALISED

↓

GST Classified

↓

Staged

↓

Validated

↓

Export Ready

15. Generate GSTR-1 JSON

Once reconciliation is complete, generate the GSTR-1 JSON file.

Before uploading to the GST portal, verify:

- return period;
- supplier GSTIN;
- invoice count;
- B2B totals;

- B2C totals;
- HSN totals;
- taxable value;
- CGST;
- SGST;
- IGST.

The generated JSON can then proceed through the normal GST filing process.

PART 2 — TECHNICAL PROCESS

1. Define the GST Cutover

The application should have an explicit GST cutover date.

Example:

```
var gstCutoverDate = new DateTime(2026, 9, 1);
```

The migration scope becomes:

```
invoice.InvoiceDate >= gstCutoverDate
```

For a specific migration period:

```
invoice.InvoiceDate >= fromDate
```

```
&& invoice.InvoiceDate <= toDate
```

Periods already filed should normally be excluded.

2. Historical Candidate Selection

Historical records should first be selected without modifying them.

Conceptual eligibility rule:

```
bool IsHistoricalGstr1Candidate(Invoice invoice)
```

```
{
```

```
    return invoice.InvoiceDate >= fromDate
```

```
        && invoice.InvoiceDate <= toDate
```

```
        && invoice.DocumentType == "SalesInvoice"
```

```
    && !invoice.IsCancelled;  
}
```

At this stage the operation must remain read-only.

3. Determine Whether the Invoice Represents a Completed Sale

A historical invoice should satisfy basic completeness rules.

Example:

```
bool LooksLikeCompletedSale(Invoice invoice)  
{  
    return invoice.Lines.Any()  
        && !string.IsNullOrEmpty(invoice.InvoiceNumber)  
        && invoice.AmountPayable > 0;  
}
```

Additional project-specific checks may include:

Customer exists

Invoice lines exist

Document number exists

Quantity / weight exists

Financial amount exists

Not cancelled

Not test data

4. Historical Status Normalisation

Historical completion should be handled independently of GST processing.

Logical statement:

IF

 Historical GST candidate

AND ConfirmedProduction

AND Complete

AND NotCancelled

AND CurrentStatus = DRAFT

THEN

 Status = FINALISED

Conceptual implementation:

```
if (  
    audit.IsHistoricalCandidate &&  
    audit.IsConfirmedProduction &&  
    audit.IsComplete &&  
    invoice.Status == "DRAFT")  
{  
    invoice.Status = "FINALISED";  
}
```

Do not trigger GSTR-1 staging automatically from the status change.

5. Resolve Historical Taxable Value

Legacy data may have incomplete header values.

A fallback should be used where appropriate.

Conceptually:

```
decimal resolvedTaxableValue =  
    invoice.HeaderTaxableValue > 0  
        ? invoice.HeaderTaxableValue  
        : invoice.Lines.Sum(x => x.TaxableAmount);
```

This should be treated as a migration-time resolved value unless business rules explicitly require source-data correction.

6. Resolve Tax Total

GST tax must be derived from its GST components.

Correct formula:

decimal taxTotal =

```
    invoice.CgstAmount  
+ invoice.SgstAmount  
+ invoice.IgstAmount;
```

The application must not assume that a legacy field named similar to TaxTotal necessarily represents GST tax without validating its historical meaning.

7. Financial Reconciliation

Resolve expected invoice value using the current invoice rules.

Conceptually:

```
var expectedValue =  
    resolvedTaxableValue  
+ invoice.CgstAmount  
+ invoice.SgstAmount  
+ invoice.IgstAmount  
+ invoice.OtherCharges  
+ invoice.RoundOff  
- invoice.DiscountAmount;
```

Then:

```
var difference =  
    Math.Abs(expectedValue - invoice.AmountPayable);
```

Use a defined tolerance:

```
var reconciled = difference <= 0.01m;
```

Records outside tolerance should become:

NeedsInvestigation

and should not stage automatically.

8. Validate Company GSTIN

The supplier GSTIN passed into the migration should match the configured company.

Conceptually:

```
if (request.SupplierGstin != company.Gstin)
{
    throw new ValidationException(
        "Supplier GSTIN does not match the configured company.");
}
```

This prevents processing another company's records by mistake.

9. Validate Date Range

The migration endpoint should validate:

FromDate <= ToDate

and enforce a reasonable maximum interval.

Example:

Maximum interval = 366 days

This prevents accidental bulk processing of the entire database.

10. Determine Registered / Unregistered Customer

Conceptually:

bool isRegistered =

 IsValidGstin(invoice.CustomerGstin);

Then:

```
if (isRegistered)
{
    classification.CustomerType = "Registered";
}
```

```
else
{
    classification.CustomerType = "Unregistered";
}
```

11. Determine Intrastate / Interstate Supply

Conceptually:

```
bool isIntrastate =
    supplierStateCode == placeOfSupplyStateCode;
```

Validation rules:

Intrastate:

CGST >= 0

SGST >= 0

IGST = 0

Interstate:

CGST = 0

SGST = 0

IGST >= 0

Example validation:

```
if (isIntrastate && invoice.IgstAmount > 0)
{
    errors.Add("IGST present for intrastate supply.");
}

if (!isIntrastate &&
    (invoice.CgstAmount > 0 || invoice.SgstAmount > 0))
{
    errors.Add(
```

```
    "CGST/SGST present for interstate supply.");  
}
```

12. GST Classification

Create a GST classification request from resolved invoice values.

Conceptual model:

```
var request = new GstClassificationRequest  
{  
    DocumentType = GstDocumentType.SalesInvoice,  
  
    InvoiceNumber = invoice.InvoiceNumber,  
    InvoiceDate = invoice.InvoiceDate,  
  
    SupplierStateCode = company.StateCode,  
    PlaceOfSupplyStateCode = placeOfSupply,  
  
    RecipientGstin = customer.Gstin,  
  
    TaxableValue = resolvedTaxableValue,  
    InvoiceValue = invoice.AmountPayable,  
  
    Cgst = invoice.CgstAmount,  
    Sgst = invoice.SgstAmount,  
    Igst = invoice.IgstAmount  
};
```

The classification service should return values such as:

ReturnCategory = B2B

Gstr1Table = B2B

or:

ReturnCategory = B2C

Gstr1Table = appropriate B2C table

The detailed B2C classification should remain inside the GST classification service rather than being duplicated in the migration utility.

13. Validate HSN

Every GST-relevant invoice line should have a valid HSN.

Example:

```
foreach (var line in invoice.Lines)
{
    if (string.IsNullOrEmpty(line.HsnCode))
    {
        errors.Add(
            $"Missing HSN for product {line.ProductName}");
    }
}
```

HSN summary should normally group compatible rows by:

HSN

GST Rate

UQC

and calculate:

Quantity

Taxable Value

CGST

SGST

IGST

14. Dry-Run Model

Before mutation, create an in-memory dry-run result.

Example:

```
public class HistoricalGstr1DryRunResult
{
    public string InvoiceNumber { get; set; }
    public DateTime InvoiceDate { get; set; }

    public decimal TaxableValue { get; set; }
    public decimal Cgst { get; set; }
    public decimal Sgst { get; set; }
    public decimal Igst { get; set; }
    public decimal InvoiceValue { get; set; }

    public string ReturnCategory { get; set; }
    public string Gstr1Table { get; set; }

    public bool IsValid { get; set; }

    public IList<string> ValidationMessages { get; set; }
}
```

Internal database identifiers should remain internal and should not be exposed to operators in:

- UI;
- CSV exports;
- reports;
- messages;
- evidence files.

15. Staging Eligibility Predicate

Use a single explicit predicate before mutation.

Conceptually:

```
bool CanStage(HistoricalInvoiceAuditItem item)
{
    return
        item.OperatorReview == "ConfirmedProduction"
        && item.InvoiceStatus == "FINALISED"
        && item.FinancialsReconciled
        && item.GstClassificationValid
        && item.HsnValid
        && !item.AlreadyStaged;
}
```

No record should bypass this gate.

16. Idempotency / Duplicate Protection

Migration commands must be safe to execute more than once.

Logical rule:

IF same invoice already exists in GSTR-1 staging

THEN skip

ELSE insert

Application-level duplicate checking should be backed by a database constraint where practical.

Conceptual unique key:

Supplier GSTIN

Return Period

Document Type

Document Number

Example:

```
CREATE UNIQUE INDEX UX_GSTR1_STAGING_DOCUMENT
ON GSTR1_STAGING
(
    SUPPLIER_GSTIN,
    RETURN_PERIOD,
    DOCUMENT_TYPE,
    DOCUMENT_NUMBER
);
```

Actual table and column names should match the production schema.

17. Create Staging Snapshot

Once staging eligibility is confirmed, create immutable or controlled GST snapshot data.

Conceptual relationship:

Invoice Header

↓

GSTR-1 Document Staging

Invoice Lines

↓

GSTR-1 Item / HSN Staging

The staging snapshot should contain the values intended for filing rather than relying indefinitely on mutable invoice data.

18. Post-Staging Reconciliation

After staging, compare source and staging totals.

Count reconciliation:

Eligible source invoice count

=

Staged invoice count

Financial reconciliation:

SUM(Source Taxable)

=

SUM(Staging Taxable)

SUM(Source CGST)

=

SUM(Staging CGST)

SUM(Source SGST)

=

SUM(Staging SGST)

SUM(Source IGST)

=

SUM(Staging IGST)

SUM(Source Invoice Value)

=

SUM(Staging Invoice Value)

Any mismatch blocks export readiness.

19. Category Reconciliation

Reconcile GSTR-1 totals by category.

Example:

B2B

Invoice Count

Taxable

CGST

SGST

IGST

Invoice Value

B2C

Invoice Count

Taxable

CGST

SGST

IGST

Invoice Value

Then:

B2B

+ B2C

+ Other Applicable Categories

=

Eligible September Sales

with documented exclusions for cancelled/test/invalid records.

20. Keep Invoice Status and GST Status Separate

Do not overload InvoiceHeader.Status with GST workflow states.

Invoice business status should remain something like:

DRAFT

FINALISED

CANCELLED

GST processing should maintain a separate lifecycle such as:

NOT_PROCESSED

AUDITED

CLASSIFIED

STAGED

VALIDATED

EXPORT_READY

EXPORTED

ERROR

Therefore a valid invoice may temporarily be:

Invoice Status = FINALISED

GST Status = NOT_PROCESSED

Later:

Invoice Status = FINALISED

GST Status = STAGED

and finally:

Invoice Status = FINALISED

GST Status = EXPORTED

21. Recommended Migration State Machine

The historical process can be represented as:

Historical Invoice

↓

Candidate

↓

Operator Reviewed

↓

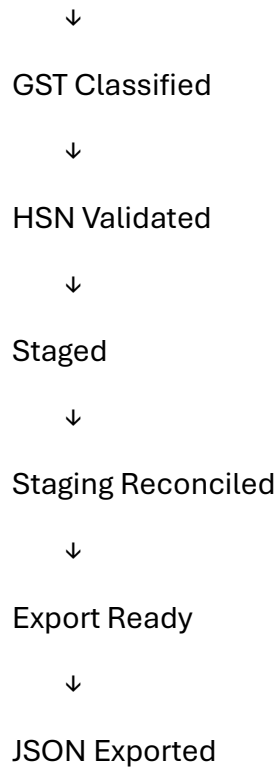
Confirmed Production

↓

FINALISED

↓

Financially Reconciled



A record should never move to the next stage when the previous stage has failed.

22. Recommended Processing Algorithm

Conceptually:

```
foreach (var invoice in historicalInvoices)
{
    if (!IsHistoricalGstr1Candidate(invoice))
        continue;

    var audit = Audit(invoice);

    if (!audit.IsConfirmedProduction)
        continue;

    if (invoice.Status == "DRAFT")
    {
```

```
        FinaliseHistoricalInvoice(invoice);
    }

    var normalized =
        NormalizeFinancialAndGstValues(invoice);

    if (!normalized.IsReconciled)
    {
        MarkNeedsInvestigation(invoice);
        continue;
    }

    var classification =
        ClassifyForGstr1(normalized);

    if (!classification.IsValid)
    {
        MarkNeedsInvestigation(invoice);
        continue;
    }

    if (!ValidateHsn(invoice))
    {
        MarkNeedsInvestigation(invoice);
        continue;
    }

    if (AlreadyStaged(invoice))
```

continue;

```
StageForGstr1(  
    normalized,  
    classification);  
}
```

After the batch completes:

ValidateStagedPeriod(returnPeriod);

Only after successful validation:

MarkExportReady(returnPeriod);

Then:

GenerateGstr1Json(returnPeriod);

STANDARD BRANCH INSTALLATION CHECKLIST

Whenever this process is used for another branch or customer installation, record the following before beginning.

Company:

Branch:

Supplier GSTIN:

Database:

GST Cutover Date:

Historical Period From:

Historical Period To:

Periods Already Filed:

Operator:

Migration Date:

Application Version:

Backend Version:

Then execute:

1. Backup database
2. Confirm company GSTIN
3. Confirm GST cutover date
4. Identify historical period
5. Run historical audit
6. Classify test / production / investigation records
7. Correct genuine historical DRAFT invoices to FINALISED
8. Re-run audit
9. Reconcile taxable and GST values
10. Validate GSTIN / state / place of supply
11. Validate HSN
12. Run GSTR-1 dry-run
13. Review B2B/B2C classification
14. Check for existing staging records
15. Stage eligible records
16. Reconcile staging totals
17. Review category summaries
18. Mark validated records Export Ready
19. Generate JSON
20. Verify JSON totals
21. Preserve CSV / audit evidence
22. Proceed with GST portal filing process

CORE SAFETY RULES

The following rules should remain mandatory for every branch migration.

Rule 1 — Never blindly finalise all DRAFT invoices

DRAFT

≠

Completed Sale

Only confirmed historical completed transactions should be corrected.

Rule 2 — Finalisation does not equal GST filing

FINALISED

≠

GSTR-1 Processed

GST classification and staging happen separately.

Rule 3 — Never stage unreconciled financial data

Financial mismatch

↓

Needs Investigation

Rule 4 — Migration must be repeatable

Running the utility more than once must not create duplicate staging records.

Rule 5 — Do not alter already-filed historical periods unnecessarily

Previously filed periods should remain unchanged unless a specific correction process has been approved.

Rule 6 — Preserve evidence

Retain audit and reconciliation evidence for every migration.

Rule 7 — Keep internal identifiers internal

Internal database keys must not be exposed in operator-facing migration screens, CSV files, reports, snapshots, or messages.

FINAL PROCESS SUMMARY

User View

Find historical invoices

↓

Confirm genuine sales

↓

Correct old DRAFT invoices



Check amounts and GST



Run GSTR-1 dry-run



Review GST classification



Approve



Stage



Reconcile



Generate JSON

Technical View

Candidate Selection



Status Normalisation



Financial Normalisation



GST Validation



GST Classification



HSN Validation



Idempotency Check



GSTR-1 Staging



Post-Staging Reconciliation



Export Readiness



JSON Generation

The two most important design principles are:

Invoice Business Status

and

GST Processing Status

must remain independent.

And:

Historical Correction

and

GST Backfill

must be separate controlled operations.